

Churn Executive Summary

Contract structure, not tenure, is the primary driver of customer churn. Below is what we found and what we recommend doing about it.

CUSTOMERS ANALYZED 7,043 full active book	OVERALL CHURN RATE 26.5% 1,869 customers lost	HIGHEST-RISK SEGMENT 42.7% month-to-month contracts	LIFETIME VALUE AT RISK \$7.76M CLTV tied to churned accounts
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Key Findings

- **Contract type is the single biggest lever we have.** Month-to-month customers churn at 42.7%, versus 11.3% for one-year and 2.8% for two-year contracts — and this gap persists even among long-tenured customers, ruling out “they just joined” as the explanation.
- **Tenure alone is misleading.** New customers churn more, but that’s because they’re disproportionately on month-to-month plans. A 3+ year customer on a month-to-month contract still churns at 31%—far above any term-contract segment at any tenure.
- **Fiber customers churn more than DSL customers** (41.9% vs 19.0%), despite fiber being the premium product — worth investigating alongside pricing and service quality.
- **Manual payment is a warning sign.** Electronic check payers churn at 45.3%, roughly 3x the rate of any autopay method — a low-effort, high-signal flag for outreach.
- **Household stability correlates with loyalty.** Customers with both a partner and dependents churn at under 4%; single senior citizens churn near 49%, the highest of any segment.
- **Customers cite competitors and service experience over price.** Competitive offers and support/service attitude together account for roughly half of stated reasons for leaving; price alone accounts for about 5%.

Recommended Actions

- **Incentivize contract upgrades.** Target month-to-month customers — especially those past their first year — with offers to move to one- or two-year terms; this is the single highest-leverage retention move available.
- **Build a manual-payment intervention.** Prioritize electronic check payers for proactive outreach or autopay incentives before they churn.
- **Investigate fiber service quality and pricing** to close the gap with DSL’s much lower churn rate.
- **Prioritize retention spend** on single senior citizens and other low-stability households, where risk is highest and least addressed by price alone.

Source: 7,043-row customer churn dataset, cleaned and analyzed via SQL. Full query set and interactive dashboard available on request.